



BEHAVIORAL ECONOMICS

BOOK REVIEW ASSIGNMENT

Predictably Irrational by Dan Ariely

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About the author



Dan Ariely is an Israeli professor of psychology and behavioral economics, known for his research on irrational decision-making. Ariely's work blends psychology, economics, and neuroscience to understand why people often act against their own best interests. He has held academic positions at MIT and Duke University and is a popular speaker on topics related to decision-making, motivation, and consumer behavior.

His aim is to research behavioral economics and try to describe it in plain language to help people make better life (and every day) decisions.

Introduction

Dan started observing human behaviour and habits that were once his daily routine after a tragic bomb detonation which left his body 70% covered in 3rd degree burns.

In the conventional economic model, it is assumed that humans are rational beings and are able to make well informed and correct decisions for themselves. It is assumed that we evaluate and compute the value of all the options available to us and go with the best possible choice. And even if, at times we make the wrong choices, the model has a way of ensuring that the “market forces” would ensure that we follow rational path.

But in reality, that assumption is as good as assuming Salman Khan drives safely!

This book explores the idea of imperfection and irrationality. Dan has not just tried to study the behaviour, but also the decision making process behind such behaviour. He has studies what makes us “tick”.

Dan argues that not only do we NOT make rational choices, we make them day in, day out, never learning from them.

The aim of this book is to make people recognize the systematic errors and mistakes they make over and over again and once people have recognized the errors they make, they would be able to avoid some of them!

It's all about relativity: The decoy effect

Imagine there is a nice pen that you'd like to buy, and it costs ₹300. Now a friend tells you that you can get the same pen for ₹150 from a shop which is 20 mins away from this one. You'd probably go and buy from there and save the 150 rupees!

Now say you are buying a luxury suit for ₹10000 and your friend tells you a shop 20 mins away is selling the exact same suit for ₹9850! You would think your friend is stupid for even suggesting this!

You are an irrational being. The value of Rs.150 remains 150, no matter if it's being subtracted from 300, 10000 or 100000! However, we look at 150 relative to 300 and 10000 (50% and 0.015%) when making our decision, when in reality, IF we were rational, the decision would be solely based on whether or not the 20 min trip is worth saving Rs 150.

Our brains are hardwired to think “relatively”.

Ariely shares a real-world case of how Williams-Sonoma (a kitchen appliance retailer) introduced a high-end breadmaker priced at \$275. Initially, sales were low—people weren't sure if it was worth the price. They introduced a second, slightly bigger and fancier breadmaker at \$429. Sales of the original \$275 breadmaker skyrocketed!

Before the expensive model existed, customers had no reference point—they didn't know whether \$275 was too much or a good deal. But once the \$429 breadmaker appeared, the \$275 model suddenly looked like a bargain by comparison.

When we are faced with this in the real life, we must ask ourself “Is this item here to sell itself, or to make another option look better?”

A decoy is an option that is intentionally priced or structured to make another choice seem like a better deal. It is clearly worse than one option but somewhat comparable to another, making the superior option look more appealing. This decoy is strategically designed to make one of the other options look much better by comparison, pushing people toward a specific choice.

Humans rarely choose in absolute terms, we rather focus on the relative advantage of one thing over another. All the big companies know this, and use it to their advantage.

For a classic example,

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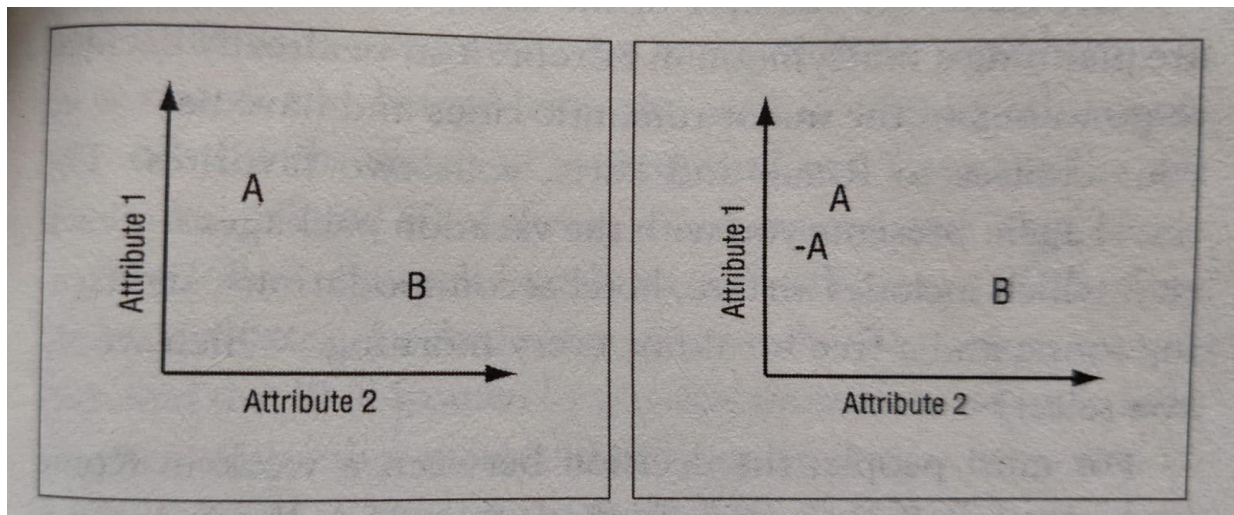
This advertisement was designed in a way to nudge people to skip the internet only option. If instead you were presented with only option one and three, you might have chosen the cheaper option 1. However, the decision between option one and three required a bit of thinking, and thinking is difficult and unpleasant. SO, the genius marketers of Economist offered a no brainer: relative to the print only option, the internet and print option is a clear winner.

This diverted our focus from rationally choosing between option 1 and 3, to irrationally focusing on the clear win of 3 over 2! And in this thinking process, since 3 is a winner over 2, it also became a winner over 1 (which might not have been if we were thinking rationally)

This also happens in movie theatres when there is little difference between the prices of Medium and Large size popcorn, and the medium sized is actually just a decoy.

Dan also talks about how high priced entrees on menu boosts revenue for the restaurant, even when very few people buy those items. This so happens because people want to settle for something “midway”, not too exorbitant, nor too cheap. And restaurants know this, which is the reason they strategically place the entrees they want to sell in the middle.

We not only tend to compare things with one another but also tend to focus on comparing things that are easily comparable and avoid comparing things that cannot be compared easily.



Introducing -A the decoy creates a simple relative comparison with A, and hence makes A look better not just relative to -A but also overall as well. As a consequence the inclusion of the decoy in the set, even if no one else selects it, makes the people more likely to choose A as their final choice.

We compare who is the better looking twin, or the 'cuter' baby. (even though it's, irrational aside, INSENSITIVE to do so!). When we see two guys (or girls) friend sitting, and both have somewhat similar features, we immediately start comparing who is the better looking one.

So, Dan advises to take your slightly uglier friend to a social event if you want to impress people at that party!

The more we have, the more we want, because SOMEONE around us will always have it better!

Numerous studies have found that the relationship between salary and happiness is quite weak. We tend to judge our success in comparison to others around us, when we should only be judging it with ourselves.

The cost of 0 dollars

“When something is free, you are the product”

“The difference between \$0.02 and \$0.01 is small but the difference between one cent and zero is huge”

It often so happens that we give up a better deal and settle for something that is not what you wanted initially just because the other thing included a free thing.

We often pay too much when we are paying nothing. Zero is an emotional hot button a source of irrational excitement.

Things that we would never consider purchasing become incredibly appealing as soon as they are free. For example people often choose two of product that you wouldn't have chosen in the first place just to get the 3rd one for free.

Ariely conducted an experiment on MIT students where they were offered a luxury chocolate Lindt for 15 cents and Hershey's kiss for 1 cent. 73% made the rational choice of choosing Lindt chocolate over Hershey's.

However in price of both these chocolates was reduced by \$0.01 that is now the Lindt costed \$0.14 And Hershey's was free, 69% went for the free Hershey's. According to standard economic theory the price reduction should not lead to any changes in the behavior of customers, however in reality their irrational mind is lured by 'free'.

Most transactions have an upside and downside but when something is free we forget the downside because it gives us such an emotional charge that we perceive what is being offered as immensely more valuable than it really is.

This is because humans are intrinsically afraid of loss. There is no visible possibility of loss when an item is free, but when an item is not free there is a risk of having made a poor choice and a possibility of a loss.

Real life examples:

When people are offered a free \$10 Amazon gift card or a \$20 gift card for \$7 most people go for the \$10 gift card, Even though the \$7 gift card provides a profit of \$13.

When Amazon introduced free shipping on orders that exceeded a certain amount the sales skyrocketed. This happened because the free shipping was so tempting that to get it we were willing to pay the extra price to reach that certain amount. For example if a book cost at \$15 The person would be willing to pay another \$15 on an unnecessary item just to avail the free shipping even though the item being purchased of that \$15 is not required by that person!

“Customers respond to the allure of free like starving people at a buffet”

Opportunity cost

Time spent on one activity after all is time taken from another so if we spend for a few minutes waiting in line for a turn to get a free taste of ice cream there is something else that we are not doing with our time which is the opportunity cost of a time which is often not taken into account by people when they encounter free stuff.

This is important implications of how we choose to spend our time in the face of being presented with free goods or services, because after all there is no free lunch.

0 calories

Zero also affects food purchases.

A calorie free beer might be more appealing than a beer that has three calories in it and since you get the feeling that you are doing the right thing by consuming the lighter beer you might order a plate of fries which has way more than three calories.

The power of “free” is not just about pricing—it’s about psychology. As Ariely’s research shows, zero isn’t just another number; it’s an emotional trigger. Whether it’s a free chocolate, a free shipping offer, or a free digital service, we often fail to analyze the hidden costs—be it opportunity cost, unnecessary spending, or even our personal data.

Free is never truly free. Whether it’s money, time, or privacy, we must recognize that every transaction—even at zero cost—has an opportunity cost. Next time we feel the irresistible pull of “free”, it’s worth pausing and asking: “Is this really a good deal, or am I just falling for the illusion of zero?”

High Price of ownership: The endowment effect

“One man’s ceiling is another man’s floor”

The ownership bias or the endowment effect talks about how we value things that we own more than the market value because we have some emotional attachment to it. Just the fact that we own it gives us utility and we therefore value it more than what other people who do not have such attachment to the item would value it. The general ownership of an item increases the value of the item in the owner’s eyes.

At Duke University students are crazy about basketball. They have to camp really hard and even after that only a few lucky students get the tickets. The question Dan analysed was if students who owned the tickets value those tickets more than the students who had not won them even though they had “worked” equally hard to obtain them.

In a rational setting a random lottery drawing might not have had a huge difference between the willingness to pay and willingness to accept of people who have not won the lottery and want to buy it and of those who have won the ticket and want to sell it. However the people who had won the ticket were demanding \$2400 on average for the ticket while on the other hand those who had not won said that they would not pay more than \$170 an average for the ticket because they were thinking about other things that they could do that money, and the people who owned the ticket were glorifying the experience of the basketball game.

Dan discusses three quirks in the human behavior that leads us to the endowment bias:

- 1) We fall in love with what we already have.
- 2) We focus on what we may lose rather than what we may gain and this loss aversion makes us believe that we are letting go of emotion or a memory.
- 3) We assume that other people will see the transaction from the same perspective that we do, but in reality people only look at the product from its face value and its physical attribute and not the emotions that be as sellers are attached to it.

Ikea effect:

Dan talks about the ikea effect the phenomenon in which the more work we put into something the more ownership we began to feel for it. And the pride and ownership is directly proportional to the difficulty with which we assemble the furniture.

It is possible to feel the ownership of something even before we own it, And this is where advertisements step in. When we see an advertisement of say a car we start imagining ourselves in it, and in this way we become the virtual owners of the car.

This often happens with highest auction bidders because the those bidders continue to bid higher and higher the longer the auction takes place, Because if you are the highest bidder at a given point you already start imagining yourself as the owner of the item and this ownership bias leads you to be willing to pay extra to continue to be the owner.

Dan’s approach to overcoming this bias is to imagine yourself as a non-owner and putting distance between yourself and the item of interest.

In conclusion, The endowment effect distorts our perception of value, making us irrationally attached to what we own. To counter this bias, we must detach emotionally and view decisions as a non-owner. Recognizing that value is subjective can help us make smarter financial and emotional choices, ensuring we don't overpay—either in money or in misplaced attachment.

Endowment effect is the reason why we stick to bad performing assets, and stick to ideas about politics that may be controversial or even sticking to bad decisions. Because after all we are owners of those ideals. Investors often hold on to underperforming stocks because they overvalue them due to prior ownership. This can lead to poor portfolio management and missed opportunities in the market. A rational investor must learn to assess assets based on market value rather than personal attachment. Homeowners frequently overprice their homes because they associate them with personal memories, ignoring market realities. This makes selling difficult, as buyers view the house as just another property—not an emotional space.

Companies leverage ownership bias to drive sales. Test drives, free trials, and “try before you buy” offers make customers feel like they already own a product, increasing their willingness to purchase.

People struggle to declutter because they overvalue their belongings. Even if an item has no real utility, the fact that they own it makes them reluctant to part with it. Recognizing this bias can help in making more objective decisions about what to keep and what to let go of.

Keeping doors open: Loss aversion and the cost of indecision

Xiang Yu's story of 'burning the boats, pots and parchments' in order for there to be no other option for his army to fight and win, is a truly inspiring one. Xiang Yu might not have been "rational" in this decision, but it worked. His army won 9 battles after another!

Sometimes we get so focused on keeping our doors open that we deviate from our main objective and our energy and time is wrecked in clinging on to keep open as many doors as we possibly can.

In running to and fro between the things that we think might be essential we forget to spend our time on what really is important. This happens with parents who enroll their kids in numerous extracurricular activities hoping that a wide range of options might spark an interest in anyone of the options but what happens in reality is that the kid gets exhausted and loses interest in most of the activities. This also happens with ambitious people choosing between careers/degrees because the loss of an unattended career/degree begins to look like more of a loss even though the prospective gain of the career/degree we are pursuing might be much higher!

To conduct the experiment of keeping the doors open Dan made the MIT students, arguably one of the most intelligent students on Earth perform in a game. Participants were given 100 clicks to use in an on-screen game. The screen displayed three doors (Red, Blue, and Green). Clicking on a door allowed the participant to enter a room. Once inside a room, each click earned some amount of money.

Participants could either:

Stay in one room and keep earning.

Or Switch rooms by clicking on a different door.

The goal was to maximize earnings.

The Twist:

If a participant did not visit a door for some time, it shrunk and eventually disappeared, meaning it was permanently closed. Participants had the option to keep switching rooms to prevent the doors from disappearing.

Findings:

Rational behavior would be to figure out which room had the highest earnings and stay there. However, participants irrationally kept clicking on doors to prevent them from disappearing, even though this reduced their total earnings. Some even spent their last few clicks just keeping doors open, rather than earning money. MIT students acted like barnyard hens pecking at every door. They ended up making far less than they could have easily.

Running from one option to another is strange enough of human conduct but even stranger is our pressure to chase doors that are of little worth!

For example we may buy something that we don't need at all just because it is on sale and we have an idea that after the sale is over we may never see those prices or those items ever again.

This often happens in careers because we focus too much on not closing one door and forget about the door that is already open for us and we undervalue it miserably.

“ The only ones who will remember your late nights at work are your children”

So while chasing the doors of money and wealth we often forget the door of family that we have open And how we are undervaluing it and Not giving it the nourishment love and time that it needs.

We also need to understand that sometimes having a big door shut is going to do better for us than fighting for our life to keep it open. This is because when you have invested 10 years in a career or a partner, It is really hard to walk away from that. But if you are, at the end of the day, miserable, it would be better to walk away any second If you are sure that you are going to be miserable if you keep that door open.

Cost of indecision

In the Donkey story Dan shares how the donkey died of starvation because he could not decide between two similar bales of hay. Humans are no different when it comes to choosing between two things that are rather similar.

For example if a person spends three months deciding between two phones to buy of a similar model that person is losing out on the three months of enjoyment and utility that either phone could have provided to them.

There are consequences if not deciding at all.

In conclusion, Ariely suggests that closing unimportant doors can actually be beneficial, and that having too many options is often more harmful than helpful. To make better decisions, we must prioritize, let go of unnecessary choices, and focus on what truly adds value. And when it comes to similar but very confusing alternatives sometimes it is better to just flip a coin and make a decision rather than not making a decision at all.

The tendency to keep doors open, despite their diminishing value, stems from our deep-rooted fear of loss and indecision. Xiang Yu's bold strategy of burning the boats forced his army to focus solely on victory, eliminating the distractions of retreat. While seemingly irrational, it proved effective—just as decisiveness often leads to success in life.

Ariely's experiment with MIT students highlights how this irrational compulsion to preserve options often backfires, causing us to lose sight of our main objective. From careers to relationships, we exhaust ourselves juggling possibilities rather than committing to what truly matters. Hoarding can be more harmful than beneficial.

The simple solution is: Prioritization, acceptance of necessary losses, and sometimes, simply making a choice rather than delaying indefinitely. In the end, closing unimportant doors allows us to focus on the ones that truly matter, leading to greater success, satisfaction, and peace of mind.

Power of Price: The placebo effect and expectance theory

Have you ever had a non-alcoholic beer which your friend tricked you into believing was alcoholic one and actually gotten high from it? Or has or ever happened that an expensive medicine makes us experience less pain than a cheap one?

Pricing affects our expectations, experiences, and even the effectiveness of products—particularly in the realm of medicine, consumer goods, and behavioral economics.

Ariely begins by discussing how people's expectations shape their experiences. A well-documented phenomenon in medicine is the placebo effect, where a patient experiences real benefits from a treatment simply because they believe it will work—even if the treatment is inert, like a sugar pill. Ariely extends this idea by demonstrating that the price of a product significantly impacts its effectiveness.

His experiment at MIT involved giving participants an electric shock and then offering them a painkiller—a placebo pill that was actually just a sugar pill. However, there was a twist: some participants were told the pill cost 50 cents, while others were told it cost just a penny. The results were striking. Those who believed they had taken the more expensive pill reported significantly higher pain relief than those who had taken the cheaper one.

This suggests that price isn't just a monetary figure—it conveys quality and value in our minds. When something is more expensive, we subconsciously correlate it with better performance.

The same logic explains why people assume a \$100 bottle of wine tastes better than a \$10 bottle, even when the contents are identical.

Pricing acts as an anchor—a reference point that influences how we judge a product's worth. Our brains rely on these reference points to make decisions in an uncertain world. If an aspirin costs 50 cents, our subconscious assumes it must be a high-quality, effective medicine. If it costs only a penny, we might doubt its effectiveness, even if it's chemically identical.

Expectance theory

Expectance theory, which suggests that our beliefs shape our reality. If we expect a product to work, it's more likely to do so. If we doubt it, we're less likely to experience its benefits, even when there's no logical reason for this.

Applications in Marketing and Consumer Behavior

Companies exploit the power of pricing psychology to influence consumer choices:

- **Luxury Branding:** High-end brands price their products exorbitantly, not necessarily because they are vastly superior, but because a higher price creates the perception of higher quality. People derive more satisfaction from a \$500 designer bag than a \$50 alternative, even when the materials and functionality are nearly the same.
- **Wine and Food Industry:** Studies have shown that when people drink the same wine but are told one bottle costs \$90 and the other costs \$10, they rate the expensive one as tasting better. Similarly, restaurants use pricing to enhance perceived quality—

chefs know that a \$50 steak will taste better to the customer than a \$15 steak, even if both are cooked identically.

- **Technology and Electronics:** Many consumers assume that a more expensive smartphone, laptop, or gadget is automatically superior to a cheaper alternative, even when the specifications are identical. Apple, for instance, has mastered this strategy—its products are priced at a premium, reinforcing the belief that they must be better than competitors' products.
- **Medicine and Alternative Treatments:** Placebo effects aren't just limited to sugar pills. People believe that expensive prescription drugs work better than cheaper generics, even when they contain the exact same active ingredients. This is why pharmaceutical companies price branded drugs significantly higher than generics—people perceive a difference, even when there isn't one.

Consequences for decision-making:

We often overpay for products and services because we equate price with quality. Companies manipulate consumer perception by using pricing strategies that shape expectations.

Marketing and branding are not just about selling products but about influencing how people experience those products. The placebo effect extends beyond medicine—it influences our daily lives in ways we don't always recognize.

How to Overcome This Bias

- **Questioning assumptions:** Just because something is pricey doesn't mean it's better. Looking at objective data (such as reviews, ingredients, or specifications) can help override the bias.
- **Testing alternatives:** Trying generic medicines, lower-cost wines, or budget-friendly alternatives in a blind test can reveal whether the price difference is justified.
- **Being mindful of marketing tricks:** Understanding that businesses deliberately use high prices to create a perception of quality can help consumers make more rational choices.

In conclusion Ariely unveils the hidden ways price influences our perception of value and effectiveness. He shows that we often mistake perceived value for real value. From medicine to luxury goods, we are wired to believe that "you get what you pay for"—even when that isn't true. Understanding this psychological quirk can help us make smarter, more rational decisions in both our personal and financial lives.

Conclusion

Dan Ariely's exploration of human irrationality reveals the profound ways in which our decisions are influenced by psychological biases, emotions, and external factors. From the decoy effect and the temptation of "free" to the endowment effect and the power of pricing, Ariely demonstrates that humans are far from the rational decision-makers conventional economic models assume us to be. These biases often lead us to make regular systematic errors, such as overvaluing what we own, falling for marketing traps, or prioritizing short-term gains over long-term benefits. By shedding light on these irrational behaviors, Ariely encourages us to recognize the hidden forces moulding our choices and to develop strategies to counteract them.

The implications of these findings extend beyond individual decision-making to broader societal and economic contexts. Businesses and marketers exploit these biases to manipulate and influence consumer behavior, often leading to suboptimal outcomes for individuals. For instance, the decoy effect manipulates our perception of value, while the placebo effect of pricing skews our expectations of quality. Understanding these instruments empowers us to make more informed decisions, whether in personal finance, career choices, or everyday purchases. By questioning our assumptions and being mindful of the psychological traps we fall into, we can strive to make choices that align with our true goals and values.

Ultimately, Ariely's work serves as a call to action for greater self-awareness and critical thinking. By acknowledging our irrational tendencies, we can take steps to decrease their impact and make decisions that are more aligned with rationality and long-term well-being. Whether it's closing unnecessary doors, resisting the allure of "free," or reassessing the true value of what we own, the key lies in recognizing the biases that govern our behavior. In doing so, we can navigate the intricacies of modern life with greater clarity and purpose, making choices that truly serve our best interests.